



Income Tax Department

Ministry of Finance, Government of India

PART II

DETERMINATION OF INCOME

A.—Salaries

Limits for the purposes of section 10(13A).

2A. The amount which is not to be included in the total income of an assessee in respect of the special allowance referred to in clause (13A) of section 10 shall be—

- (a) the actual amount of such allowance received by the assessee in respect of the relevant period; or
- (b) the amount by which the expenditure actually incurred by the assessee in payment of rent in respect of residential accommodation occupied by him exceeds one-tenth of the amount of salary due to the assessee in respect of the relevant period; or
- (c) an amount equal to—
 - (i) where such accommodation is situate at Bombay, Calcutta, Delhi or Madras, one-half of the amount of salary due to the assessee in respect of the relevant period; and
 - (ii) where such accommodation is situate at any other place, two-fifth of the amount of salary due to the assessee in respect of the relevant period,
- (d) [***]

whichever is the least.

Explanation.—In this rule—

- (i) "salary" shall have the meaning assigned to it in clause (h) of rule 2 of Part A of the Fourth Schedule;
- (ii) "relevant period" means the period during which the said accommodation was occupied by the assessee during the previous year.
- (iii) [***]

